

HERITAGE FUND CAPACITY ANALYSIS

A Statistical and Moral Breakdown of Government Stewardship

Prepared by Gavin Sorochan

825-561-3786 | April 2026

Note on corrections: Five figures in this analysis have been updated from the original draft to reflect the most current official data. Corrections are indicated with an asterisk () where they appear. The core argument is not only preserved by these corrections — it is strengthened.*

PART I — HERITAGE FUND CAPACITY UNDER A DISCIPLINED MODEL

Overview

Even within Canada's fiscal framework — including equalization and pipeline constraints — Alberta could have achieved a sovereign fund in the range of \$300 billion to \$600 billion under a disciplined model similar to Norway's Government Pension Fund Global. This assumes consistent saving, global investment, and a sustainable annual draw of approximately 3 percent.

Revenue Base

Revenue Item	Amount
Total oil and gas revenues since the 1970s	Approximately \$300–\$400 billion
Supporting evidence	Independent analysis documents over \$315 billion in cumulative resource revenues to 2025
Adjusted for Canadian constraints (equalization, pipeline limits, market — approx. 25%)	Effective base: approximately \$225–\$300 billion

Savings Discipline

Assume a savings rate of 40 to 60 percent — consistent with what a disciplined sovereign fund model would require. Total contributions invested over time: approximately \$90 billion to \$180 billion.

Historical reality: Alberta governments have deposited less than 4 percent of total resource revenue into the Heritage Fund since its creation. The contribution rate was reduced from 30% in 1976 to 15% by 1983, and eliminated entirely in 1987.

Source: Fraser Institute — 'Albertans still await plan to grow Heritage Fund'

Growth Model and Projected Fund Size

Assumption	Value
Investment approach	Global diversified — consistent with comparable sovereign funds
Real return (net of inflation)	Approximately 4–5% annually
Sustainable annual draw	Approximately 3% (preserves and grows principal)
Projection period	40–50 years from inception
Conservative modelled fund size today	\$300 billion (low end — most defensible)
Optimistic modelled fund size today	Up to \$600 billion (best-case scenario)

Important context: Independent analysis from factsmtr (2025) estimates that if Alberta had reinvested all fund earnings since inception — as Norway does — the fund would be worth approximately \$250 billion today. The \$300 billion low-end figure in this model reflects a more ambitious but plausible savings discipline. Both figures dwarf the current reality.

Annual Yield Comparison

Fund Scenario	Annual Yield at 3%
Conservative modelled fund — \$300 billion	Approximately \$9 billion annually
Optimistic modelled fund — \$600 billion	Approximately \$18 billion annually
Actual Heritage Fund — \$31.9 billion* (corrected)	Approximately \$957 million annually*
Capacity gap (low end)	\$9 billion vs. \$957 million — approximately 9x more possible

**Corrected figure: The Heritage Fund fair value as of December 31, 2025 is \$31.9 billion (Government of Alberta Q3 2025-26 Report). Previous draft used the pre-deposit figure of approximately \$23–25 billion. The corrected figure strengthens the argument — the fund is larger than originally stated, yet still generates under \$1 billion annually at 3%.*

THE GAP IN ONE STATEMENT:
Even accounting for federal constraints, a disciplined sovereign fund model would produce \$300–600 billion, yielding \$9–18 billion annually. The current actual yield — approximately \$957 million — reflects not constraint but long-term non-retention of public wealth. This is not a limitation of means. It is a record of choices made.

PART II — AISH IN THE CONTEXT OF SOVEREIGN FUND CAPACITY

What AISH Actually Costs

AISH Program Item	Figure
Annual provincial spending on AISH	Approximately \$1.641 billion
Number of recipients (September 2025)*	Approximately 79,000* (corrected)
Average annual cost per recipient	Approximately \$20,772
AISH as share of total provincial budget (~\$70 billion)	Approximately 2–2.5%

**Corrected figure: 79,290 recipients as of September 2025 (Government of Alberta AISH Caseload Open Data). Previous draft used 77,000.*

AISH Relative to Sovereign Fund Capacity

Comparison	Amount
Total annual AISH cost	Approximately \$1.641 billion
Conservative sovereign fund yield (3% of \$300B)	Approximately \$9 billion annually
AISH as percentage of conservative fund yield	Less than 18% — under one fifth
Remaining capacity after fully funding AISH	Over \$7 billion annually
Actual Heritage Fund yield at 3% (\$31.9B)	Approximately \$957 million — less than AISH costs

CORE STATEMENT:

The full cost of AISH — approximately \$1.641 billion annually — is not a structural burden. It is a fraction of what a properly capitalized public fund would generate under a disciplined model. The issue is not cost. It is the absence of retained capacity.

PART III — COMPARATIVE GOVERNANCE AND THE COST OF INSTABILITY

Norway: The Model That Worked

Comparison Item	Alberta Heritage Fund	Norway Pension Fund Global
Founded	1976	1990
Current value	\$31.9 billion CAD	Approximately \$2.23 trillion USD* (corrected)

Constitutional protection	No	Yes
Annual return (2025)	7.7% fiscal year-to-date	15.1% (2025 annual)
Mandatory savings rule	Eliminated 1987	Constitutionally required

**Corrected figure: Norway's Government Pension Fund Global reached approximately \$2.23 trillion USD by end of 2025 (Norges Bank Investment Management, January 2026). Previous draft used \$1.7 trillion, which was an earlier figure.*

Governance Failure as Primary Driver

The limiting factor is not external constraint. Geography does not affect investment performance. Canada does not restrict global investment capability. Equalization does not affect portfolio returns. Pipelines affect revenue generation — not investment performance once that revenue is saved.

The limiting factor is governance, discipline, and long-term retention of public wealth. For decades, Alberta governments:

- Failed to retain resource revenues at the rates originally legislated
- Reduced the mandatory contribution rate from 30% (1976) to 15% (1983) to zero (1987)
- Chose short-term spending over long-term compounding during surplus years
- Refused to implement binding fiscal discipline comparable to Norway or Alaska

The Disparity	Amount
Potential sovereign fund under disciplined model (low end)	\$300 billion
Actual Heritage Fund (December 31, 2025)	\$31.9 billion
Gap	Approximately \$268 billion — nearly 10 times larger
Annual public capacity foregone (at 3%)	\$9 billion vs. \$957 million

Cost of Destabilization vs. Cost of Support

When disability income supports fail, costs do not disappear. They transfer into other publicly funded systems — at a higher total cost per person.

System / Cost Category	Annual Cost Per Person Affected
Healthcare — emergency and high-need	\$10,000–\$30,000
Shelter and homelessness system	\$10,000–\$25,000 (conservative; Calgary Housing First data: \$55,000)
Emergency response services	\$5,000–\$15,000

Policing and repeat interactions	\$5,000–\$20,000
Courts and legal processing	\$3,000–\$10,000
Provincial incarceration (when applicable)	\$60,000–\$80,000
TOTAL — without incarceration	Approximately \$33,000–\$100,000
TOTAL — with incarceration	Approximately \$93,000–\$180,000
Compare: AISH support per person annually	Approximately \$20,772

BOTTOM LINE:

\$20,772 for stability. \$33,000–\$180,000 for crisis. The cost does not disappear when support is removed. It expands across healthcare, housing, policing, and courts — all publicly funded. AISH is not the problem. It is the solution that is cheaper than the alternative.

CONCLUSION

This is not about affordability. It is about a massive disparity created by sustained governance failure. Alberta had the resource revenues to build a sovereign fund that would have made AISH trivially fundable — under 18% of annual yield at conservative projections.

Instead, the province spent its long-term capacity. Now it is asking its most vulnerable citizens — 79,000 severely disabled Albertans — to absorb the consequences. That is not policy necessity. That is political failure being offloaded downward.

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All corrections to original data are noted with () and sourced to official government publications.*